

Manan Khurma, CEO of Cuemath

Manan's professor parents in Amritsar didn't want him to be an entrepreneur. Now, he is changing the trajectory of Math education around the globe by leveraging an underused workforce: stay-at-home moms with strong mathematics background in India. Brilliant story!

Transcript of the interview:

Sramana Mitra: Let's start at the very beginning of your journey. Where are you from? Where were you born, raised, and in what kind of background?

Manan Khurma: I was born in Haryana, India. That's where my mother's family is from. I grew up in Amritsar, which is the city of the Golden Temple in Punjab. Both my parents throughout their careers were university professors. In Amritsar, we have this very famous university. That's where I spent the first 15 years of my life. My dad is a Chemistry professor. My mom is a biologist. Throughout my childhood, my environment was a lot of science and teaching. That partly inspired my career.

Sramana Mitra: What did you do for higher education?

Manan Khurma: I spent the last two years of my schooling in Delhi. After that, I went to IIT Delhi. That's where I did electrical engineering. During my schooling, Math was what I always loved. I excelled in it as well. As a second or third year student at Delhi, I started teaching math. My career in the Math learning space started right back then.

Sramana Mitra: What year did you come out of IIT?

Manan Khurma: I graduated in 2007.

Sramana Mitra: What happens after?

Manan Khurma: My friend loves Physics. We decided to setup a test prep business. Both of us had gone through that test prep cycle just a few years back, we decided to set up business in that space. This was a brick-and-mortar test prep center. We started this even before we graduated. By the time we were graduating, it had grown pretty big. We had hundreds of students coming to us and lots of revenue was being generated.

Sramana Mitra: This was in Delhi?

Manan Khurma: Yes, right outside the IIT Delhi campus. That's how we started. By the time we were graduating, the center we were running had become pretty successful. We continued with that. My parents weren't happy about me skipping placements. They wanted me to study further. They expected that I would get, at least, a PhD. Here I was, coming from a

non-business family directly starting a business. That's how the journey started. Over the next several years, that's what me and my friend did. The business became pretty big. From one location, we expanded to multiple centers in multiple cities.

Sramana Mitra: This was all bootstrapped?

Manan Khurma: Yes.

Sramana Mitra: What level of revenue did you reach with that?

Manan Khurma: At its peak, it was a million dollars a year. Our expenses were very low. We didn't have a large team. We were teaching ourselves. At the same time, this was a business that had scale limitations. Opening every new center required you to recruit stellar teachers. Great teachers don't exist at scale.

Sramana Mitra: What year are we talking now that you were doing a million dollars of revenue, and you were starting to think of other possibilities?

Manan Khurma: Four years after starting the business, around 2010. Scale was one limitation. For me, there was a more fundamental problem with the test prep space as a whole. Over those years, I ended up teaching more than 10,000 students. I managed to build a really deep understanding of how students learn.

The biggest takeaway was the fact that by the time a student reaches their senior years, it's hard to course-correct and have them learn effectively if they don't have a strong foundation. Every year, we would have hundreds of students coming to the center. In just a few minutes of conversation, I would be able to say if this kid is not going to make it to a good college because their foundation was poor.

Even if I made the maximum amount of effort, there was just so much I could give. The biggest takeaway was if you really need to have impactful learning outcomes, you have to start much earlier. That nudged me to think. I might as well focus on earlier grades. We sold that business to another test prep player. It was a modest exit.

Sramana Mitra: Why would another test prep player buy this business if you were not going to come with it?

Manan Khurma: We spent a little bit of time there. We essentially managed to build a good brand. We had a lot of good curriculum and study materials. I didn't start the next business right away. This exit was in 2011. Cuemath started in December of 2013. There was about two years.

In this two-year period, I ended up doing a bunch of different things. I worked with a few schools to help them setup better systems for their Math learning. I wrote some material that eventually got published. I also worked with some government bodies to help them intervene in their math learning outcomes. That was the period between the first startup and starting Cuemath. I was also teaching back then.

Sramana Mitra: What happens after that?

Manan Khurma: The thing with such phases is it doesn't add up to much. I decided that education is something I love. I wanted to do a business again, but this time, I wanted to focus on Math learning. The other thing was scaling a business. In the first business, there was scale limitation. All of these learnings came together. I actually had a small setup where students were still coming and I was teaching them. I hit upon this idea of starting Cuemath. The idea was, "Can we build a Math learning system that exposes kids to Math the right way?"

The problem with traditional methods is that Math is taught in an abstract way. By the time students reach middle school years, they've already become averse to this subject. If you need to win the math battle, you need to intervene early. That was the idea. We'll turn eight next week on December 22. Why December 22? It's India's National Math Day. December of 2013 was when Cuemath got created.

Sramana Mitra: You were going after kindergartens?

Manan Khurma: The challenge with setting up an education business if you aim for scale is that you can't aim for a narrow slice. While I wanted to start from kindergarten, I was cognizant of the fact that to scale the business, you have to be able to serve multiple grades. I started with taking up the entire segment of kindergarten to grade 8. The challenge was to build out a new Math curriculum over the next year. I didn't have a team back then.

Sramana Mitra: Solo entrepreneurship.

Manan Khurma: Absolutely. That first year and a half was an intense year of work. I put in 14 to 16 hours of work creating this content and teaching myself. I remember in the first few iterations of the curriculum, I got it wrong. I was used to teaching high schoolers. I had to throw out the first few iterations. That process took about a year and a half until I got to a point where I was confident about the curriculum.

Sramana Mitra: What is the sweet sauce of your curriculum? In the market, we have Khan Academy. There's a lot of curriculum out there. What is it that you bring to the table in your methodology that is different?

Manan Khurma: The biggest underlying trait is what we call learning by reasoning, which is understanding the why behind the what. Every fact and algorithm that the student is expected to learn, they also need to understand the why behind it. For example, if they're in grade four and they're being taught how to add fractions, they also clearly need to understand why their algorithm works. They also need to learn why it's true.

The reason the why is important is when you learn the why and not focus exclusively on the what, Math becomes far more easier to understand. That's one thing. The second thing is through my years of teaching, I have internalized this fact that students learn best when the material is presented to them in a very visual manner.

If you bring in the right kind of visuals and connect it to learn world context, that makes the learning process easier. The deep belief is that every student has a deep and strong capacity to be a master at Math. It was through that poor traditional teaching that they ended up not doing so well.

Sramana Mitra: What about form factor?

Manan Khurma: The first version was physical workbooks complemented with physical objects. If you were to learn decimals, you have various models. These are physical objects. The first version was all physical. The way it was delivered was we were not setting up our own centers this time. We were getting individuals with strong Math backgrounds to partner with us as teachers and run Math learning centers out of their homes. These individuals were mostly women who we onboarded as our teacher partners. We provided the physical workbooks and materials to them to run these Math learning centers. They would teach their neighborhood kids.

Sramana Mitra: How did you find these women?

Manan Khurma: We started in Delhi. We went through a network. We tried to find a few individuals who were not working but who had strong Math backgrounds. The peculiar thing about India is that you have a vast pool of such individuals who leave the workforce every year because of family. They're highly-skilled and talented. We recruited our first hundred teachers from Delhi. Recruiting this set of teachers was pretty hard. We were just starting off.

This methodology was entirely new. In some cases, it was different from how students learn concepts in school. Some of these individuals are skeptical in terms of how this will be perceived. We spent the effort and we co-created the product with them. That was a pretty intense phase.

Sramana Mitra: You were still a solo entrepreneur?

Manan Khurma: When I was creating the first version of the curriculum, that was solo. As we started recruiting and as we started getting these teachers to run real classes, revenues started flowing in. By then, a small team had come up. There were people who were handling teaching recruitment. There were some people who were helping the teachers acquire students from their neighborhood.

Sramana Mitra: How were the teachers acquiring students from the neighborhood?

Manan Khurma: Mostly the teachers were relying on their personal networks.

Sramana Mitra: Word-of-mouth.

Manan Khurma: Yes, or you go to your complex and do an event. It was mostly organic stuff. This is how we grew on the demand side for the first few years. We now spent money for acquiring demand. We were getting teachers on board and they were getting students on board.

Sramana Mitra: What was the economics of this business during that period?

Manan Khurma: The arrangement we had with the teachers was a revenue share model where the fee that was being collected would be shared in a certain ratio between the teacher and Cuemath so that the teacher retains the majority. The teachers get 60%. For that 40%, we were providing the entire learning system to enable the teacher to deliver these classes. We were also providing basic marketing support like collaterals, branding materials, and so on.

Sramana Mitra: Were they branding them as Cuemath centers?

Manan Khurma: Absolutely. In the first few years, the teacher's brand in a hyperlocal region would be more powerful. Many of these teachers may not have prior teaching experience. What we are looking for is not traditional teaching experience. What we are looking for is a strong math background. You must have empathy for the student. Other than that, we are not looking for traditional teaching experience. It means that many of our teachers don't have prior traditional teaching experience.

Sramana Mitra: What kind of revenues did you get in this mode?

Manan Khurma: We had 500 students. Each student was paying 1,500 Indian rupees. That's about \$10,000 of monthly revenue. Then we raised our first round of investment. That was a seed round that was done by Unite Us Seed Fund. They put in about \$150,000 when we had reached about \$10,000 of monthly revenue.

Sramana Mitra: That was in 2015?

Manan Khurma: Yes, that allowed us to expand our base to 500 teachers and about 3,000 students. This happened over the course of 2016. Because of this growth and because of the innovative business model, investors took notice. We ended up doing our first venture capital round in 2016. This was led by Sequoia. They put in about \$4 million back then. With that round of capital, we had another spurt of growth. From 500 teachers, we scaled to 2,500 teachers over that year. In 2017, we closed our next round of venture capital, which was led by Google Capital. That was \$15 million.

Sramana Mitra: After the Sequoia round, was it still word-of-mouth teacher recruitment?

Manan Khurma: We started advertising. Most of our advertising was digital. We also had teachers coming in by referrals. The same thing was happening on the student side. Even when we raised the Sequoia round, we didn't do any advertising on the student side. Teachers were still acquiring students. That model worked well for us. It was only later that we started advertising on the demand.

Sramana Mitra: The \$4 million round got you the teacher scaling process. In that advertising process, what did you learn? What were you advertising for?

Manan Khurma: We were looking for women. That was the initial set that worked for us. At that point, our teacher base was almost entirely women. Because we were home-based learning centers, we were looking for individuals who had some degree of stability. We were essentially looking for married women. If they had kids of their own, that was an added bonus.

Sramana Mitra: They can market through the schools then.

Manan Khurma: Yes, they can market through the schools. That happened quite a bit in the initial years when teachers would tap into their schools and advertise there as well.

Sramana Mitra: I can see that you can target on Facebook to married women in certain geographies. What about children? How do you find people with children?

Manan Khurma: We would run targeted ads for work-from-home opportunities. That's how we generated leads. We also had a very stringent process. For every 100 people, we would end up selecting less than five. We put them through a training process. That would take a few weeks. Then they would start teaching.

Sramana Mitra: The learning tools were still these physical learning tools.

Manan Khurma: Correct.

Sramana Mitra: When you raised the Google round, how much were you making?

Manan Khurma: When we raised the Google round, we had a student base of 10,000. We were making \$300,000 a month roughly.

Sramana Mitra: Was it just Delhi or other cities as well?

Manan Khurma: By then, we had expanded to other cities. Google Capital, which is the venture arm of Google, don't generally do early-stage investments. In our case, they came in much earlier because they liked the impact that we were having. They were very impressed with the feedback they were hearing. In 2017, we closed the Google round.

Sramana Mitra: What happens after?

Manan Khurma: We continued to expand going from tier 1 to tier 2 cities as well. One of the things we realized as we started to scale beyond that point was the hyperlocal matching of the business was limiting our ability to serve certain areas. If we didn't have a teacher in a certain locality, we wouldn't be able to serve students from there. If we had a great teacher coming from some area, but the pricing potential around her wasn't great, then she wouldn't be able to get students.

The physical nature of the business meant that there were certain limitations to scale. Towards the end of 2017, we started exploring the possibility of enabling our teachers to teach online as well. Back then, online was not so widely prevalent. From early 2018 onwards, we started

building a live class platform that would enable our teachers to teach Math to kids sitting anywhere in the country.

This was not just about getting a teacher on a video call with a student. We wanted to replicate our offline experience in an online setting. That meant that we would have to create a custom learning platform engineered entirely from scratch where the kid was still learning by doing and taught in a very visual manner. That was a hard engineering challenge. We started this process in early 2018. It took us about two years to get it right.

Sramana Mitra: You had to develop a new methodology of online learning that would capture some of the nuances of your physical learning and translate that into a methodology that would work online.

Manan Khurma: Not some nuances, but all nuances. Lots of custom development work had to be done. It took us two years to get that right. By the end of 2019, we were in a situation where the online platform was working pretty well. We hired a few hundred students to learn online with us. Our offline student back then was really large – about 40,000 students. Our online was still nascent.

Sramana Mitra: The online model was still driven by a teacher?

Manan Khurma: Yes, a teacher would be running a small group.

Sramana Mitra: You could go to your existing teacher base and give them these tools.

Manan Khurma: Yes. That's what we did. Our first set of online teachers came from our existing teacher base. Towards the end of 2019, our online business was still small. We were feeling confident and excited that the online model would scale. What happened was next March, you had this Covid lockdown. 95% of our revenue was still from offline classes. Only 5% was from online.

We had to take the decision to transition our entire customer base to online. We had to do that over the course of just a few days. What was initially planned as a paced out exercise would have to be done in two weeks. You have this macro chaos. On the other hand, we had an entire customer base we had to transition. It was a hectic two weeks. We got all our teachers trained on the online platform.

Instantly, we had 5,000 teachers come on the online platform. At the same time, we created a team that started acquiring from outside India. This component scaled rapidly. In 2020, the entire world was in lockdown. We started seeing massive growth in the United States.

Sramana Mitra: It was through Google search engine marketing?

Manan Khurma: Yes, SEM and display ads. We used all channels we could. We also relied heavily on referrals. By quarter three of 2020, the business was scaling nicely, especially the international part of the business. That meant that we started seeing huge investor interest. By

the of end of 2020, we closed our Series C round which was a \$40 million round. That was led by Lightrock. It was a challenging year.

Sramana Mitra: The 40,000 students that transitioned from brick-and-mortar to online, what was the grade spread?

Manan Khurma: These students were spread across kindergarten to grade 8. A student can join the Cuemath program at any point.

Sramana Mitra: They stay with it.

Manan Khurma: Yes, they stay with it. In fact now, they can go up to grade 12. We expanded our curriculum all the way to grade 12.

Sramana Mitra: The lifetime value of a customer is very high.

Manan Khurma: Yes.

Sramana Mitra: It is with the same teacher?

Manan Khurma: That's correct.

Sramana Mitra: How does the teacher handle so many grades?

Manan Khurma: The teacher handles the students either in a one-to-one class or she does a small group of students. Typically, our teachers will opt for a certain grade segment. Even in a group class, the teacher is essentially teaching one-on-one. Let's say a teacher has four students in a group at that same hour. Each student would work on their own material. The teacher would hop on from student to student.

The teacher is not broadcasting. She is working as a coach. When you look at a Cuemath class, the teacher is not lecturing. The learning is expected to happen as a consequence of the student solving a calibrated sequence of problems. Let's say I'm a grade four student and I have to learn fractions. In a traditional class, the teacher will teach fractions.

In a Cuemath class, the student will work on a problem set. The problem set will drive this learning outcome. The teacher is there, but she steps in only when the student needs help. Even when the teacher intervenes, there's a specific methodology she has to follow. She has to nudge the student to self-discovery. That's why we're called Cuemath. The teacher has to cue the student to arrive at the answer.

Sramana Mitra: As you started student recruitment with online marketing, you started getting US students. What were you targeting? Were you targeting specific US geographies?

Manan Khurma: The initial acquisition was opportunistic. We were targeting parents of Indian descent. We started acquiring from that set. These were usually from San Francisco or New

York. Over time, we also started seeing students from non-Indian backgrounds. Majority of our revenue comes from outside India. We now think of ourselves as a global business with US as our biggest market. We've been in existence for eight years, now but this part of the business has materialized only in the last year.

Sramana Mitra: What is the revenue scale now?

Manan Khurma: We'll be at a hundred million sometime next year.

Sramana Mitra: How many teachers are you working with?

Manan Khurma: We have more than 10,000 teachers on the platform.

Sramana Mitra: Is it the same model still? Women working from home?

Manan Khurma: Yes, all they need to have is a good internet connection and a laptop.

Sramana Mitra: That's brilliant. I'm so thrilled about your story.

Manan Khurma: It's been a very interesting consequence of building the business. It's been a very interesting consequence of building the business in terms of the supply side emerging. This has been one of our biggest wins. Our teacher community is passionate and tightly-knit. An average teacher will stick with us for about eight years. When many of the husbands lost their jobs due to the pandemic, some of these women became the primary breadwinners.

Sramana Mitra: How much do these women earn on average?

Manan Khurma: It depends on the hours they spend. A teacher would make about 500 rupees per hour. That's about \$7 an hour. If you do 20 hours a week, that would be \$140 a week.

Sramana Mitra: Is there a pricing differential in how you're marketing to the United States?

Manan Khurma: In the US, the pricing is \$100 to \$220 a month depending on the student grade. This gets the student eight classes with the teacher. In India, the pricing is one-fourth of the US pricing.

Sramana Mitra: Fantastic! I love your story. Thank you for your time.

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